INTERNAL RESEARCH · MEMO · NOT INVESTMENT ADVICE · AI-ASSISTED

Zoom Communications

NASDAQ : ZM · Mature-Company DCF · SOTP

27 May 2026 · the qualitative

$105.64

$32.5B mkt cap · 308M sh · $7.9B cash, zero debt · Anthropic stake (carried)

THE CENTRAL QUESTION

Is Zoom a melting ice cube with locked-up optionality — or a stable cash machine sitting on a $7B Anthropic stake the market hasn't yet marked to public?

Zoom trades at $105.64 ($32.5B mkt cap) on TTM revenue of ~$4.94B, $1.7B FCF, and $7.9B cash & marketable securities — roughly a quarter of market cap is just cash. Q1 FY27 confirmed the base case: revenue $1.24B (+5.5%, beat), FY27 guidance raised to $5.09B / $5.98 EPS, buyback expanded $1.0B — management returning capital while it waits for the Anthropic mark. On top sits an Anthropic equity stake carried at cost but worth $4-9B across scenarios, pending the IPO mark. The operating business is a stable cash machine (35-40% FCF margin) facing real but slow competition from Teams and Workspace. Mature-Company DCF with SOTP framing below. Three scenarios, weighted; show your work.

PROBABILITY-WEIGHTED EXPECTED VALUE

$167.83 expected fair value today

+58.9% vs spot $105.64

FORWARD COMPOUNDED VALUE

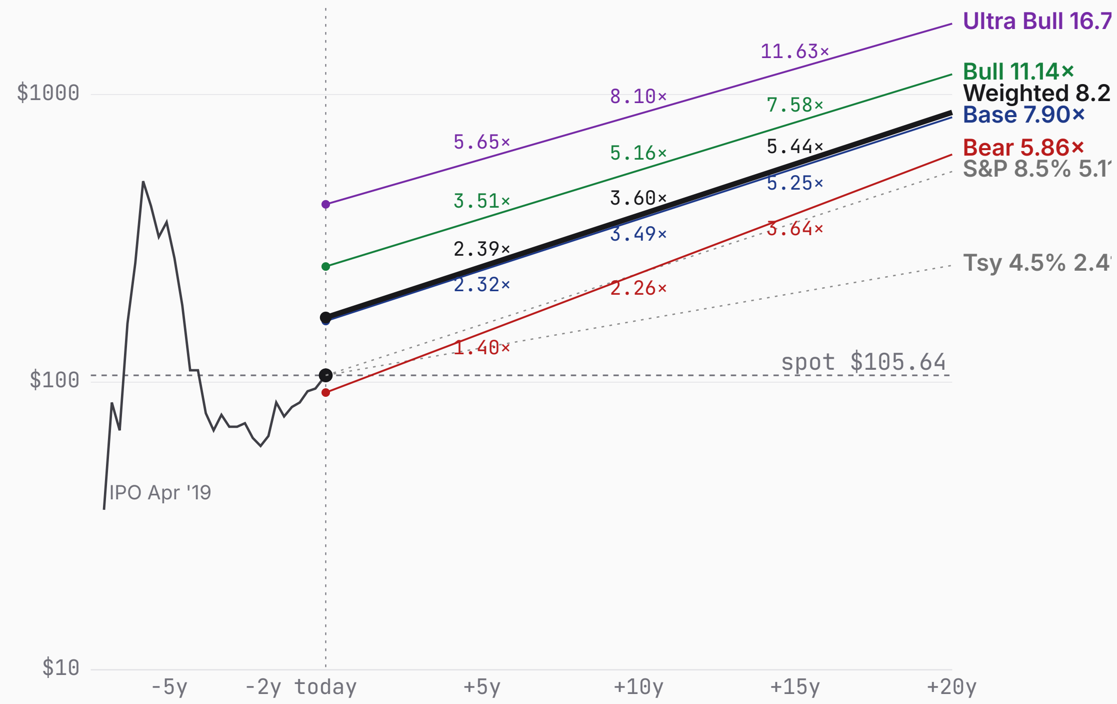
+5y	+10y	+15y	+20y
$252.60	$380.63	$574.28	$867.53
2.39× spot	3.60× spot	5.44× spot	8.21× spot

WEIGHTING RATIONALE

Bear 30% Teams/Workspace structurally favored; AI Companion fails to monetize; Anthropic stake compressed.
Base 50% Modal outcome: stable mid-single-digit growth, Anthropic IPOs at $700B-1T, multiple modest expand.
Bull 15% AI Companion monetizes + Anthropic at $1T+; two engines succeed independently.
Ultra Bull 5% Both engines fire simultaneously; Anthropic at $2T+; multiple re-rates to growth-software premium.

Bull (15%) + Ultra Bull (5%) together contribute $58.64 — 35% of the $167.83 expected value despite 20% combined probability. Today's spot ($105.64) sits 37% below the weighted expected; forward-weighted value crosses spot between +5y and +10y.

PRICE + PROJECTIONS · HISTORICAL THROUGH PROBABILITY-WEIGHTED



BEAR	BASE	BULL	ULTRA BULL
$92.04	$163.16	$252.46	$415.40
-12.9% vs spot	+54.4% vs spot	+139.0% vs spot	+293.2% vs spot
CAGR -0.7% WACC 10.0%	CAGR +3.1% WACC 8.5%	CAGR +6.4% WACC 8.0%	CAGR +9.5% WACC 7.5%
Anth $4B Prob 30%	Anth $7B Prob 50%	Anth $9B Prob 15%	Anth $16B Prob 5%
Zoom without a core market.	Stable cash machine with a visible kicker.	AI monetization + Anthropic re-rating.	Anthropic $2T+; full re-rating.

AR 2EB | ALAMEDA RESEARCH 2: ELECTRIC BOOGALOO · LONG HORIZONS · STRUCTURAL SHIFTS · IMAGINATION

Zoom Communications scenario narratives

PROBABILITY WEIGHTS

Bear 30% Base 50% Bull 15% Ultra Bull 5% · Weighted expected $167.83 (+58.9% vs spot)

BEAR $92.04

-12.9% vs spot

Probability 30%

Zoom without a core market.

WHY 30%

Bearish thesis is competitive commoditization: Teams (Microsoft's bundled play) and Google Meet (free for Workspace customers) continue to take seats from ZM's enterprise base; AI Companion Pro fails to differentiate or monetize meaningfully (Microsoft Copilot integration into Teams is the obvious competitive response); Phone seats stagnate; Contact Center fails to reach scale; Anthropic stake gets compressed if AI valuations correct or Anthropic does an underwhelming IPO. The 30% weight reflects that Teams/Workspace competition is real, ongoing, and structurally favored — but ZM has shown unexpected resilience through 2024-25 (stable revenue, growing FCF, $1B+ buyback program). Not bankruptcy risk; share-loss-with-margin-compression risk.

WHAT HAPPENS

The pessimistic case is harsh and worth taking seriously: video conferencing has commoditized. Microsoft Teams ships with every E3 and E5 license — well north of 400M enterprise seats globally. Google Meet ships with Workspace. Webex, Slack Huddles, Discord, FaceTime — everyone has video. The product Zoom invented and dominated is now table stakes inside the productivity bundles customers are already paying for.

In this world Zoom's revenue stagnates and then declines. Enterprise renewals come at lower seat counts as IT teams quietly migrate to Teams. Online (consumer + SMB) erodes faster as free alternatives become good enough. Phone and Contact Center continue growing 20-25%+ but on too small a base to offset the core decline. Revenue drifts from $4.87B in FY26 to ~$4.7B by FY30. Margins compress as Zoom spends to defend.

BASE $163.16

+54.4% vs spot

Probability 50%

Stable cash machine with a visible kicker.

WHY 50%

Modal outcome. ZM stabilizes at mid-single-digit revenue growth; FY27 guidance holds; AI Companion Pro is a meaningful contributor but not a category-defining product; Anthropic stake gets a public mark via Anthropic's IPO at $700B-1T valuation; ZM multiple expands modestly as the market gives credit for the Anthropic stake AND for stable cash generation. Buyback compounds shares-out reduction at attractive prices. The 50% weight reflects that this requires the least faith — sequential execution on plans already in motion.

WHAT HAPPENS

The middle path. Zoom continues as a stable mid-single-digit growth business. Enterprise revenue grows 6-7%, Online stays flat to slightly down, Phone and Contact Center add 25%+ on smaller bases. Blended revenue grows 3-4% — exactly what FY27 guidance is calling for and consistent with the last two years.

AI Companion stays bundled into paid plans and helps justify price increases at renewal. The strategic logic is right: make AI a feature of the bundle rather than try to monetize it as a separate SKU customers can decline. Margins hold in the mid-30s after a near-term CapEx step-up for the post-pandemic data center refresh. Cash builds at $1.7-1.9B/year. Some funds buybacks (current $1B+ authorization), some sits.

BULL $252.46

+139.0% vs spot

Probability 15%

AI monetization + Anthropic re-rating.

WHY 15%

AI Companion Pro monetizes (per-seat add-on becomes meaningful contributor); Phone scales to 16M+ seats with margin expansion; Contact Center crosses $500M ARR and becomes a real third leg of growth; Anthropic IPOs at $1T+ with stake getting full mark (vs current discount carrying value); the operating business multiple expands AND the Anthropic stake appreciates. The 20% weight is higher than JOBY/AUR's bull weight because ZM's bull case is less compound — AI monetization and Anthropic appreciation are somewhat independent bets that can succeed without each other. But the conjunction still requires multiple things at once: product success on three new SKUs (Companion Pro, Phone scale, Contact Center scale) plus a favorable AI capital markets backdrop for Anthropic's IPO.

WHAT HAPPENS

The bull case requires Zoom to convert AI Companion into a meaningful per-seat upsell while Anthropic IPOs at $1T+. AI Companion Pro reaches material adoption — call it 15% attach on paid seats at $5-8/month uplift — adds ~$300M ARR by FY28. Phone scales to 16M seats with margin expansion. Contact Center crosses $500M ARR and becomes a real third leg of growth. Blended revenue growth re-accelerates to 5-8%.

FCF margin expands toward 40%+ as the AI Companion uplift drops to the bottom line at ~80% gross margin. Cash generation hits $2.2-2.5B/yr. Aggressive buybacks at $130-150 retire 70M+ shares over 5 years. SOTP math: $43.8B op EV + $7.8B cash + $9B Anthropic = $60.6B equity ÷ 240M FY30 shares = $253/share.

ULTRA BULL $415.40

+293.2% vs spot

Probability 5%

Anthropic $2T+; full re-rating.

WHY 5%

Joint conditional: Anthropic IPO above $2T (60% conditional on IPO) AND AI Companion crosses $1B ARR (40% conditional on existing trajectory) AND multiple re-rates from 15x to 30x P/FCF (50% conditional on growth + AI both firing). Joint at 5-7%, reflected here at 5%. This is the scenario where ZM stops being a 'value with AI optionality' name and becomes a growth-software name with an emerging-leader AI partner. Tail of tails.

WHAT HAPPENS

The ultra-bull case is that the two engines BOTH fire and the market re-rates the equity to growth-software multiples. Anthropic IPOs at $2T+ valuation (vs $1T base bull), marking the Anthropic stake at $14-18B — 2× the bull-case carry value. Simultaneously, AI Companion Pro becomes a real revenue engine: 30%+ paid-seat attach at $8-12/mo, hitting $1B+ ARR by FY29 and reaccelerating core revenue growth to 8-10%. Phone, Contact Center, and Workvivo each become $500M+ ARR contributors.

Multiple expands from current 15x P/FCF to 30x+ as the growth story consolidates. SOTP math: $80B+ operating EV + $7.8B cash + $16B Anthropic (mid-case mark) = $103B equity ÷ 250M FY30 shares = $412/share. The ultra-bull is materially different from bull: not just AI works AND Anthropic works, but BOTH inflect AT THE SAME TIME and the market rerates accordingly.

AR
2EB

ALAMEDA RESEARCH
2: ELECTRIC BOOGALOO
LONG HORIZONS · STRUCTURAL SHIFTS · IMAGINATION

INTERNAL RESEARCH · MEMO · NOT INVESTMENT ADVICE · AI-ASSISTED

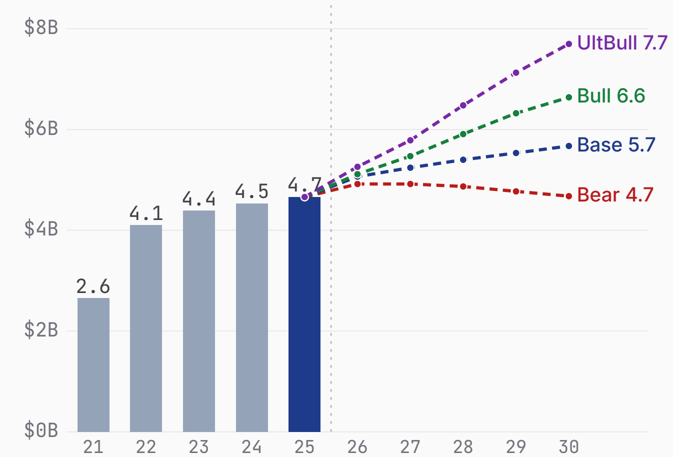
27 May 2026 · the snapshot

Zoom Communications business snapshot

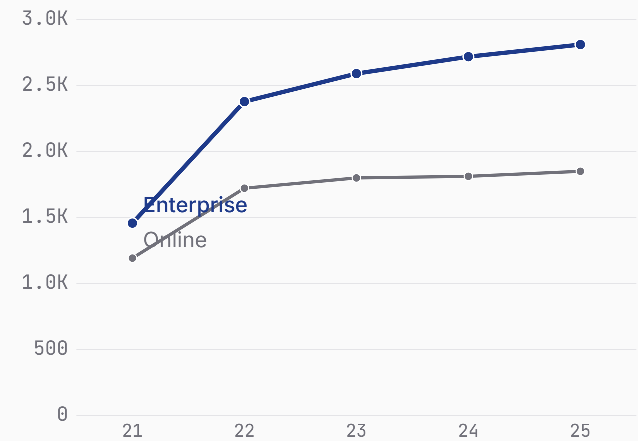
Bear $92.04 Base $163.16 Bull $252.46

FY21–FY25 history + FY26–FY30 scenario projections · fiscal years end Jan 31 · 10-K FY26, Q1 2026 10-Q, Anthropic press releases

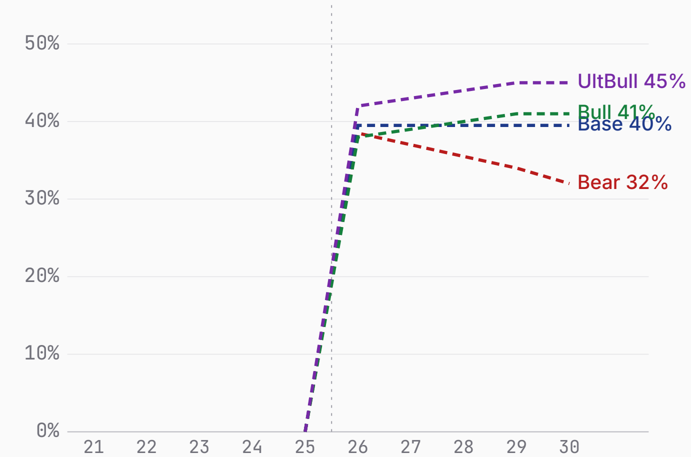
Revenue ($B) — history + scenarios to FY30



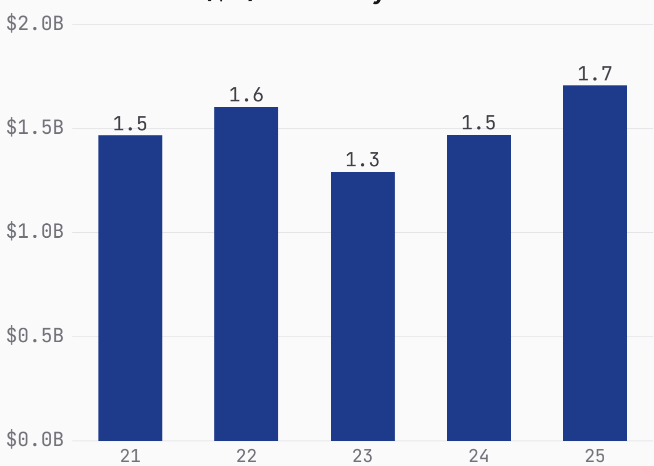
Revenue by segment ($M)



Op margin — history + scenarios



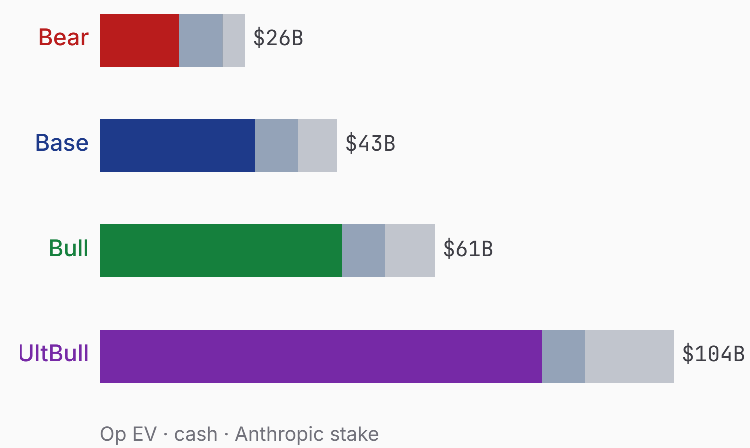
Free cash flow ($B) — history



EV / Revenue — historical

(no EV history data)

SOTP equity (Op EV + cash + Anthropic)



Sources: ZM 10-K FY26, Q1 2026 10-Q, Anthropic financial press, AI infrastructure peer set.

INTERNAL RESEARCH · MEMO · NOT INVESTMENT ADVICE · AI-ASSISTED

27 May 2026 · the quantitative

Zoom Communications show your work

Bear $92.04 Base $163.16 Bull $252.46 · Weighted $167.83 (+58.9%)

BEAR $92.04

ASSUMPTIONS

5y revenue CAGR (%)	-0.7
Year-5 op margin (%)	32.0
WACC (%)	10.0
Terminal growth (%)	0.0
Anthropic stake ($B)	4.0
Starting revenue ($B)	4.87
Scenario probability (%)	30

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	4.92	+39%	+1.72	+1.57
FY27	4.92	+37%	+1.67	+1.38
FY28	4.87	+36%	+1.61	+1.21
FY29	4.77	+34%	+1.48	+1.01
FY30	4.68	+32%	+1.36	+0.84

Σ PV explicit FCF	+6.01
+ PV terminal (g 0.0%)	8.42

EQUITY BUILD · $B & PER SHARE

Operating EV	$14.43B
+ Cash & investments	$7.80B
+ Anthropic stake	$4.00B
= Equity value	$26.23B
FY30 shares (M)	285
= Expected per share	**$92.04**

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$148.23	$238.73	$384.47	$619.20
1.40×	2.26×	3.64×	5.86×

BASE $163.16

ASSUMPTIONS

5y revenue CAGR (%)	+3.1
Year-5 op margin (%)	39.5
WACC (%)	8.5
Terminal growth (%)	2.0
Anthropic stake ($B)	7.0
Starting revenue ($B)	4.87
Scenario probability (%)	50

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	5.06	+40%	+1.77	+1.63
FY27	5.24	+40%	+1.83	+1.56
FY28	5.40	+40%	+1.89	+1.48
FY29	5.53	+40%	+1.94	+1.40
FY30	5.67	+40%	+1.99	+1.32

Σ PV explicit FCF	+7.39
+ PV terminal (g 2.0%)	20.72

EQUITY BUILD · $B & PER SHARE

Operating EV	$28.11B
+ Cash & investments	$7.80B
+ Anthropic stake	$7.00B
= Equity value	$42.91B
FY30 shares (M)	263
= Expected per share	**$163.16**

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$245.34	$368.90	$554.70	$834.08
2.32×	3.49×	5.25×	7.90×

BULL $252.46

ASSUMPTIONS

5y revenue CAGR (%)	+6.4
Year-5 op margin (%)	41.0
WACC (%)	8.0
Terminal growth (%)	2.5
Anthropic stake ($B)	9.0
Starting revenue ($B)	4.87
Scenario probability (%)	15

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	5.11	+38%	+1.94	+1.80
FY27	5.47	+39%	+2.13	+1.83
FY28	5.91	+40%	+2.36	+1.88
FY29	6.32	+41%	+2.59	+1.91
FY30	6.64	+41%	+2.72	+1.85

Σ PV explicit FCF	+9.26
+ PV terminal (g 2.5%)	34.52

EQUITY BUILD · $B & PER SHARE

Operating EV	$43.79B
+ Cash & investments	$7.80B
+ Anthropic stake	$9.00B
= Equity value	$60.59B
FY30 shares (M)	240
= Expected per share	**$252.46**

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$370.95	$545.04	$800.85	$1,176.71
3.51×	5.16×	7.58×	11.14×

ULTRA BULL $415.40

ASSUMPTIONS

5y revenue CAGR (%)	+9.5
Year-5 op margin (%)	45.0
WACC (%)	7.5
Terminal growth (%)	3.0
Anthropic stake ($B)	16.0
Starting revenue ($B)	4.87
Scenario probability (%)	5

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	5.26	+42%	+2.14	+1.99
FY27	5.79	+43%	+2.56	+2.21
FY28	6.48	+44%	+3.02	+2.42
FY29	7.13	+45%	+3.35	+2.50
FY30	7.70	+45%	+3.58	+2.48

Σ PV explicit FCF	+11.61
+ PV terminal (g 3.0%)	68.44

EQUITY BUILD · $B & PER SHARE

Operating EV	$80.05B
+ Cash & investments	$7.80B
+ Anthropic stake	$16.00B
= Equity value	$103.85B
FY30 shares (M)	250
= Expected per share	**$415.40**

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$596.36	$856.15	$1,229.12	$1,764.56
5.65×	8.10×	11.63×	16.70×

Zoom Communications supporting analysis · disclaimers · glossary

Bear $92.04 Base $163.16 Bull $252.46

PUSHBACK · WHY THE BASE CASE IS TOO HARSH

1. **Operating business has resilience.**
ZM revenue stable through 2024-25 despite Teams competition. Phone + Contact Center grew 25%+. Resilience visible, not theoretical.

2. **AI Companion strategy is right.**
Bundle AI into existing plans rather than separate SKU. Microsoft Copilot's $30/seat model is the cautionary tale — adoption underwhelmed.

3. **$7.8B cash is a real floor.**
25% of market cap is liquid. T-bills earn ~4%. Optionality for M&A, buybacks, or capital return. Hard to lose money against this.

4. **Anthropic stake is asymmetric.**
Carried at cost ($1.5B); worth $4-9B today; could mark to $15B+ post-IPO. Hidden asset most screeners ignore.

5. **Capital allocation track record.**
$1B+ buyback authorization announced 2024. Avg buyback price below $80. Eric Yuan personally aligned (15%+ owner).

FALSIFICATION TRIGGERS

Bear validation
FY27 revenue declines · AI Companion attach < 5% on paid seats · Anthropic IPO marks stake below $5B · Phone seat growth < 15%

Bull validation
FY27 revenue re-accelerates > 5% · AI Companion attach > 10% · Anthropic IPO at $1T+ · Contact Center crosses $500M ARR

Reframe needed
If Eric Yuan executes major M&A (>$3B deal) — repurposing cash from optionality to platform expansion; both bear and bull theses get rewritten

DISCLAIMERS · PLEASE READ BEFORE USING THIS DOCUMENT

Not investment advice.
This document is produced for entertainment and educational purposes only by an individual amateur investor. "Alameda Research 2: Electric Boogaloo" is the unincorporated personal concept of one person and is not a registered investment management entity. Nothing herein constitutes investment advice, a recommendation, or a solicitation to buy or sell any security.

Not a professional.
The author is not a registered investment advisor, broker-dealer, CFA charterholder, certified financial planner, or licensed financial professional of any kind. The author has no formal training in equity research or capital markets. No fiduciary relationship is created by reading this document.

AI-assisted analysis.
Substantial portions of this analysis were produced with the assistance of large language models. LLMs are known to fabricate facts, miscalculate numbers, hallucinate sources, and present incorrect information with high apparent confidence. Every figure, claim, and projection in this document should be independently verified before acting on it.

Forward-looking statements.
Scenarios, valuations, projections, and any forward-looking statements involve substantial assumptions and uncertainty. Actual results may differ materially from those projected. Past performance is not indicative of future results. The model is a model; reality is not.

Author may hold positions.
The author may own, intend to acquire, or hold short exposure to $ZM or related securities at any time. Positions may change without notice and without an update to this document. Do not assume the author's positions match the tone of the analysis.

Do your own research.
Do not make investment decisions on the basis of this document. Consult a licensed financial professional and read the company's official SEC filings (10-K, 10-Q, 8-K, proxy) before forming any investment view. If you wouldn't trust your retirement to a chatbot, don't trust this either.

GLOSSARY · CONCEPTS REFERENCED IN THE NARRATIVE

AI Companion / Pro — ZM's AI assistant. Bundled free into paid plans (Companion) with a premium SKU (Pro). Bundle-not-separate-SKU strategy.

Anthropic stake — ZM invested in Anthropic 2023. Carrying value disclosed at ~$1.5B; market value $4-9B across scenarios pending the IPO mark.

Phone — ZM's cloud PBX product. ~9M seats currently, growing 25%+. Cross-sells off the meetings install base; a third-leg growth driver.

SOTP — Sum-of-the-parts: operating EV + cash + special assets - debt. Used when material balance-sheet value sits outside operations.

Contact Center — ZM's CCaaS product (cloud-based customer service). ~$200M ARR currently, growing fast; bull case crosses $500M ARR.

Buyback flywheel — ZM generates $1.7-2.4B FCF/yr. Buybacks at $1-1.5B/yr retire shares; lower share count compounds per-share value.